

Whitfield Contingency Cost Recovery Addendum

Sterling, Marsh & Associates LLP

Matter: M-2024-0018 Whitfield Family Trust v. Continental Securities

Effective date: March 8, 2023. Internal file copy reviewed for December 2024 close.

This addendum supplements the Whitfield contingency engagement terms for matter level cost recovery. It is retained in the matter file to guide cost classification, settlement recovery, and close procedures.

For this contingency matter, reimbursable client costs include ordinary litigation disbursements and matter direct professional services that Sterling pays on the client matter before settlement recovery. Examples include expert witnesses, court reporters, mediation, filing fees, process servers, investigator services, travel for the matter, third party document production, overflow counsel, contract attorney document review, settlement memorandum support, and settlement document preparation.

Firm paid reimbursable costs are tracked as client cost advances until recovered from settlement proceeds, collected from the client, or approved for write off by the responsible partner and controller. For general ledger close, these firm paid reimbursable costs should be recorded to account 1300 Client Cost Advances Hard Costs and cleared only when the related cost recovery is received.

Cost type	Treatment for Whitfield
Contract attorney document review	Reimbursable client cost advance when firm paid
Overflow counsel for matter direct litigation work	Reimbursable client cost advance when firm paid
Settlement memo and settlement document preparation	Reimbursable client cost advance when firm paid
In house copies, postage, and routine office overhead	Soft cost or overhead recovery, not account 1300

Prepared by: Litigation Administration. Reviewed by: Robert Cavanaugh, responsible partner. Controller close note: confirm account 1300 captures all firm paid reimbursable Whitfield costs before settlement cost recovery is cleared.